AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

BB293

Financial Accounting in Context

MTA - Make Up

2024-2025 / Spring Semester

Version A

22-April-2025

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Number of Exam Pages: 3 (including this cover sheet)	Time Allowed: 2 Hours

nstructions:

Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
Mobile phones must be in "SWITCHED **OFF"** mode throughout the examination.
This is a **CLOSED** book examination. NO documents of any kind are allowed.
You **MUST** answer the questions using only the answer booklets provided.
You **MUST** return the examination paper together with your answer booklets.
Do **NOT** write your answers in pencil except for graphs/sketches.
Students are **NOT** allowed to use any type of dictionary or mobile phones during the examinatior
Students are allowed to use ***non-programmable*** calculators only (if needed).
Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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Questions 1

i. What are the different sources of company finances?

ii. A financial market is a place where those who wish to borrow or raise capital can meet those who are willing to provide it Explain the two main types of financial markets.

[Marks: (15 + 15) = 30]

Question 2

Below is Star Ltd's trail balance as of 31 December 2024. Adam owns this business.

Trial Balance

Account Name	Debit $	Credit $
Sales		800,000
Sales Return	21,250	
Opening inventory	120,000	
Purchases	315,000	
Purchases return		40,000
Non-Current assets at cost:		
Freehold property	187,500	
Equipment	60,000	
Motor Vehicles	35,000	
Accumulated depreciation on:		
Equipment		15,000
Motor vehicles		12,500
Salaries and wages	17,500	
Insurance	7,500	
Advertising expenses	11,250	
Motor expenses	3,750	
Loan interest	10,000	
Receivables	90,000	
Allowances for receivables		5,000
Payables		70,000
Cash at bank	388,750	
Bank loan		125,000

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Capital		200,000
	1,267,500	**1,267,500**

Additional information is provided for use in preparing the company's adjustments:

1. Closing inventory is valued at $81,250.
2. Equipment is depreciated by 25% on straight line basis.
3. Motor vehicles are depreciated by 30% on reducing balance basis.
4. Accrued wages at the end of 2022 amount to $3,250.
5. On 1st April 2024 Adam paid $3,750 for insurance which was valid until 31st March 2025.
6. Irrecoverable receivables of $2,000 need to be write off.
7. Adam decides to increase allowances for receivables to $6,250.
8. Adam has taken goods worth $18,750 for his own use.

Required:

1. Prepare income statement for the year ended December 31st, 2024.
2. Prepare balance sheet as at December 31st, 2024.

[20 + 20 = 40 marks]

Question 3

i. What area of a client firm are auditors most likely to communicate with when planning and conducting their work? Explain the connections between the external auditor, the internal auditor, and company directors significant to corporate governance.

ii. Corporate social responsibility (CSR) is a voluntary business framework that enables a company to hold itself socially responsible to its stakeholders and the general public. What are the four types of responsibilities identified by Carroll's (1991) model?

[Marks: (15 + 15) = 30]

End of Questions

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